

The Industry PUSH

The finance minister walks a tightrope as pre-budget parleys give an idea of what Indian industry needs to get back to growth and job creation

| By Nivedita Mukherjee |

Seldom has the annual budget making exercise come under such intense focus, this being the first major budget after the global meltdown. The pro-reform noises made via President Pratibha Patil's speech to Parliament have come as a boost for Indian industry which was looking for another stimulus on the back of the three that are

still to deliver visible results. Yet, at this stage, what industry wants and what Finance Minister Pranab Mukherjee can deliver is like watching a nail-biting T20 match.

Mukherjee is caught between the proverbial cleft stick: balancing the need to fast-track economic reforms and giving in to political compulsions of rural development and welfare schemes for the poor. Amit Mitra, secretary-general, Federation of Indian

GREAT EXPECTATIONS

What industry wants, why and how

ASSOCHAM



- End to procedural bottlenecks that hold up infrastructure projects in roads, ports, airports and power by speedy clearance for projects. This will drive investment-led growth.
- Partial disinvestment to mobilise resources for increased spending on projects and social sector programmes by diluting stake in 15 top PSUs.
- Return of shopaholic Indians to the market to stimulate demand for goods and services by reducing personal income tax rates.
- Creation of an Indian Common Market to boost trade and industry by replacing the multiple tax system with a uniform GST throughout the country.



- Tighter fiscal management by targeting subsidies at a limited class and bringing down revenue deficit as a percentage of the GDP.
- Comprehensive National Manufacturing Policy with labour flexibility and simplified procedures to increase share of manufacturing to 25 per cent of the GDP by 2020.
- Financial sector reforms by raising Foreign Direct Investment limit in insurance to 49 per cent and allowing 26 per cent FDI in pension fund management for higher capital flows.
- FDI in higher education by permitting foreign participation to create a 500-million-strong skilled workforce by 2022.

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